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Its total revenue is 50X10=500. Its total cost is 50X8=400. Therefore, its total profit is 500-400=100.

In the third part of the diagram, firm's cost curve is above the price line. The equilibrium condition is achieved at point where MR=MC. Its quantity sold is 50. With the prevailing price, it experiences loss. (AC>AR)

Its total revenue is 50X10=500. Its total cost is 50X12=600. Therefore, its total loss is 600-500=100.

As *profit* prevails in the market, new firms will enter the industry, thus increasing the supply of the product. This means a decline in the price of the product and increase the cost of production. Thus, the abnormal profit will be wiped out; loss will be incurved.

When *loss* prevails in the market, the existing loss making firms will exit the industry, thus decreasing the supply of the product. This means a rise in the price of the product and reduction in the cost of production. So the loss will vanish; Profit will emerge. Consequent upon the entry and exit of new firms into the industry, firms always earn 'normal profit' in the long run as shown in diagram.

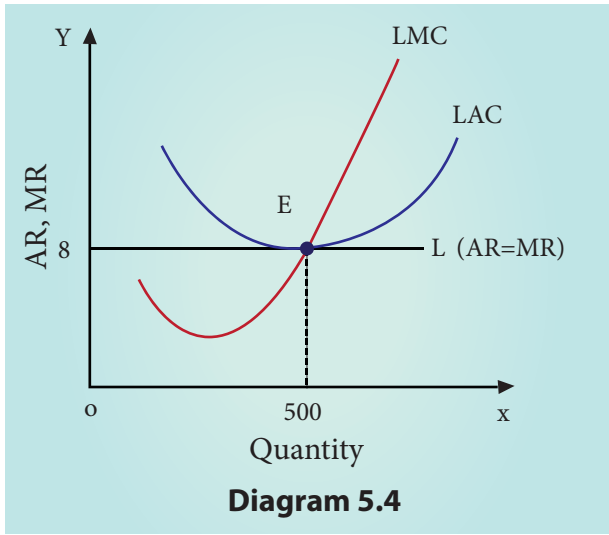


Diagram 5.4

5.5.3 Perfect Competition: Firm's Equilibrium in the Long Run (Normal Profit)

In the long run, all the factors are variable.

The LAC curve is an envelope curve as it contains a few average cost curves. It is a flatter U shaped one. It is also known as planning curve. First, the firms will earn *only normal profit*.

Secondly, all the firms in the market are in equilibrium. This means that there should neither be a tendency for the new firms to enter into the industry nor for any of the existing firms to exit from the industry.

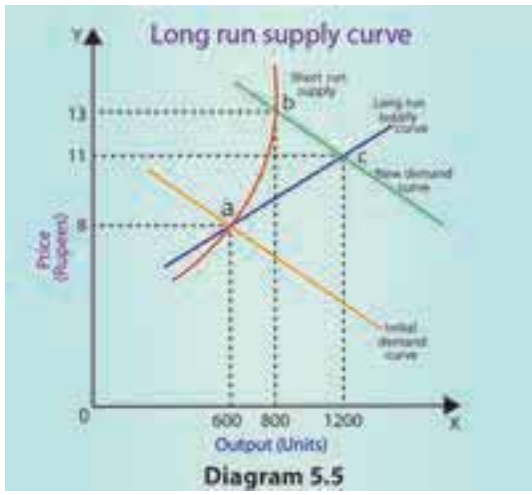


Diagram 5.5

Long run supply curve is explained to determine the long run price after an increase in demand. The effect of the increase in demand in the short run is explained by the movement from point 'a' to point 'b'. The price increases from ₹8 to ₹13, and the quantity increases from 600 to 800 units. Economic profit of a firm is